Market Conduct Examination Standards

How an examiner of this Department tests a company's claim files, what the tolerances are, and what follows from a finding.

Kansas Insurance Department, Market Regulation Division. Bulletin MC-9, in force from July 1, 2024, superseding MC-8.

1. Scope

1.1 This bulletin governs every market conduct examination of claims handling the Division conducts on a company authorized in this state.

1.2 The examiner works from the sample the company produces, the company's own records of what it did with each file, and the Division's file on the company.

1.3 A working day is a day other than a Saturday, a Sunday or a holiday on the schedule at the back of this bulletin. A period stated in working days counts neither the day it begins on nor any day excluded by this paragraph.

2. Scope of the sample

2.1 The sample is drawn from claims of which the company received notice inside the examination period.

2.2 A file the company includes whose notice date falls outside the examination period is removed from the sample. It is removed from the denominator of every standard as well as from the exceptions, and the examiner states how many files were removed and why.

2.3 A standard is tested only against the files to which it applies. The denominator of a standard is the number of files in scope to which that standard applies, and it is not the size of the sample.

2.4 A claim closed without payment is tested under 4.1, 4.2 and 4.4. It is not tested under 4.3 or 4.5, no payment and no settlement having been made.

3. How a standard is tested

3.1 The error rate of a standard is the number of exceptions divided by the denominator at 2.3, carried to two decimal places.

3.2 A standard whose error rate exceeds its tolerance is a finding. A standard whose error rate equals its tolerance is not.

3.3 The general tolerance is seven percent. The standards at 4.4 and 5.1 carry a tolerance of zero, so a single exception on either is a finding.

4. The claim handling standards

4.1 The company acknowledges a claim within ten working days of receiving notice of it.

4.2 The company issues a written decision within thirty calendar days of receiving a completed proof of loss.

4.3 The company pays within ten working days of receiving a signed release.

4.4 A denial states the policy provision the company relies on. Tolerance zero.

4.5 A total loss settlement on a private passenger automobile includes sales tax at seven and one half percent of the actual cash value and the title and registration fee of 42.50.

5. Records

5.1 The company maintains a complaint register carrying every complaint the Division has forwarded to it. Tolerance zero. Each complaint the Division forwarded and the register omits is one exception.

5.2 The register is tested against the Division's own record of what it forwarded, and the Division's record governs.

6. What follows from a finding

6.1 A penalty is assessed on each finding at the rate in the schedule at the back, multiplied by the number of exceptions on that standard. The penalty is computed on exceptions and not on the error rate.

6.2 The rate is **250.00** for a finding the company has not been made on before, and **750.00** for a finding on a standard on which the company was made a finding in its previous examination. The Division's file records what the previous examination found.

6.3 Where a standard was a finding in the previous examination and is within tolerance in this one, no penalty arises on it and the examiner records that it has been corrected.

6.4 Where the examination finds that a claimant was paid less than the policy required, the company pays the difference with interest at ten percent simple from the day it paid to the day of the report. Interest is computed on a basis of three hundred and sixty five days.

6.5 Restitution under 6.4 is owed whatever the size of the underpayment. A small underpayment is not disregarded.

6.6 The examiner states, for each finding, what the company must do and by when, and states anything the examination was not able to settle.

7. Schedules

Penalty rates

Finding	Rate for each exception
Not previously made against the company	250.00
Made in the company's previous examination	750.00

Holidays observed in 2025, for the working day count at 1.3

Date	Holiday
01/01/2025	New Year's Day
01/20/2025	Martin Luther King Jr. Day
05/26/2025	Memorial Day
06/19/2025	Juneteenth
07/04/2025	Independence Day
09/01/2025	Labor Day
11/11/2025	Veterans Day
11/27/2025	Thanksgiving Day
11/28/2025	Day after Thanksgiving
12/25/2025	Christmas Day

MC-9 rewrites 2.2, 2.3 and 6.2 and adds 6.3 and 6.5. Examiners holding MC-8 should destroy it. Questions go to the Director of Market Regulation.